

The Commission is disapproving this proposed rule change because it does not find the proposal to be consistent with Section 6(b)(5) of the Exchange Act, which requires, among other things, that the rules of a national securities exchange be designed to prevent fraudulent and manipulative acts and practices and to protect investors and the public interest. The Commission believes that, in order to meet this standard, an exchange that lists and trades shares of commodity-trust exchange-traded products (“ETPs”) must, in addition to other applicable requirements, satisfy two requirements that are dispositive in this matter. First, the exchange must have surveillance-sharing agreements with significant markets for trading the underlying commodity or derivatives on that commodity. And second, those markets must be regulated.

Based on the record before it, the Commission believes that the significant markets for bitcoin are unregulated. Therefore, as the Exchange has not entered into, and would currently be unable to enter into, the type of surveillance-sharing agreement that has been in place with respect to all previously approved commodity-trust ETPs—agreements that help address concerns about the potential for fraudulent or manipulative acts and practices in this market—the Commission does not find the proposed rule change to be consistent with the Exchange Act.

The two big takeaways were that the SEC decided the markets for bitcoin were “unregulated” and that there were not sufficient “surveillance-sharing agreements” between Bats Exchange—the exchange where the bitcoin ETF would list—and the cryptoasset exchanges where bitcoin for the ETF would be sourced.

Regardless of what people expected going into the SEC decision, most everyone was taken aback by the rigidity of the SEC’s rejection. Notably, the SEC didn’t spend much time on the specifics of the Winkelvoss ETF but focused more on the overarching nature of the bitcoin markets. Saying that these markets were unregulated was an extra slap to the Winkelvosses, who had spent significant time and money on